

2018 C L D 1271

[Lahore]

Before Ayesha A. Malik and Jawad Hassan, JJ

GULSHAN POLYPACK PVT. LTD.---Appellant

Versus

FAYSAL BANK LIMITED and others---Respondents

E.F.A. No. 107558 of 2017, decided on 2nd April, 2018.

Financial Institutions (Recovery of Finances) Ordinance (XLVI of 2001)---

---Ss. 19 & 22---Suit for recovery of finance---Execution of decree---Default in payment---Effect---Parties entered into Tripartite Settlement Agreement after suit was decreed in favour of Bank---Judgment debtor failed to comply with terms of the Settlement resultantly Banking Court rejected objections filed in execution proceedings---Validity---When judgment debtors committed default in payment of amount as per specifically mentioned terms and conditions of the agreement, there was no option left with the Banking Court but to proceed further in the matter by rejecting objection petition---High Court declined to interfere in the order passed by Banking Court as there was no illegality or jurisdictional error in the order having been passed in line with the dictates of law---Appeal was dismissed in circumstances.

Ijaz Ahmad Awan for Appellant.

Abid Hussain Chaudhary for Respondents.

JUDGMENT

JAWAD HASSAN, J.---Through this Execution First Appeal (the "Appeal"), filed under section 22 of Financial Institutions (Recovery of Finances) Ordinance, 2001 (the "Ordinance") the Appellants have challenged the validity of order dated 18.10.2017 passed by the Banking Court-V, Lahore (the "Banking Court") whereby it rejected the objection petition filed by the Appellants under section 19 of the Ordinance.

2. Brief facts of the case are that the Respondents Bank filed a suit for recovery of Rs.4,99,04,730/- against the Appellants which was decreed ex parte by the Banking Court in favour of the Respondents vide judgment and decree dated 17.02.2009 and thereafter the same was converted into Execution Proceedings. During the execution proceedings an agreement (Tripartite Settlement Agreement dated 25.10.2011) between the parties was reduced into writing in order to settle the matter out of Court. In pursuance of which the Appellants filed different applications and ultimately filed objection petition which was rejected by the Banking Court vide the impugned order. Hence, this Appeal.

3. Learned counsel for the Appellants inter alia contended that the impugned order is illegal and non-speaking; that the impugned order is contrary to the proceedings conducted by the Banking Court; that the Banking Court has failed to appreciate the fact that the amount of fresh cheque was the amount as agreed inter se the parties and not the alleged outstanding amount; that the Banking Court has not taken into consideration the real facts while deciding the objection petition; that the Respondents have estopped by their words and conduct; that the cheque given by the Appellants was not encashed by the Respondents deliberately and as such, the benefit of which cannot be extended in their favour.

4. On the other hand learned counsel for the Respondents vehemently controverted the arguments advanced by the learned counsel for the Appellants and prayed for dismissal of the Appeal on the grounds that the impugned order has been passed on the basis of record and in accordance with law and therefore, left nothing to interfere in the same.

5. We have heard the arguments advanced by the learned counsel for the parties and perused the record.

6. The record reveals that admittedly, during the pendency of the execution proceedings before the Banking Court a Tripartite Settlement Agreement was reached into between the parties on 25.10.2011 containing certain terms and conditions in order to settle the matter out of Court. The impugned order reflects that the Banking Court on 04.07.2017 specifically observed that the Appellants have failed to pay the amounts according to the terms of the agreement, therefore, the Appellants have committed default. It also reproduced the relevant clause (Clause No.4) of the agreement which vividly shows that in case of default in fulfilling the terms and conditions of the agreement for any reason whatsoever, all the relief granted under the settlement shall stand withdrawn resultantly outstanding liabilities together with marks up and other charges minus the amounts paid under the said settlement shall immediately become due and payable. When the Appellants have committed default in payment of amount as per the specifically mentioned terms and conditions of the said agreement, there was no option left with the Banking Court but to proceed further in the matter by rejecting the objection petition vide the impugned order.

7. We fully agree with the finding of the Banking Court and do not see any illegality or jurisdictional error in the impugned order which has been passed in line with the dictates of law and does not warrant any interference by this Division Bench.

8. Resultantly, the instant Appeal is devoid of any merit and is accordingly dismissed.

MH/G-4/L

Appeal dismissed.